Daily Shipping Trade Advisory — Sattva Global Logistics

Date: 11 May 2026, 3:00 PM IST | **sattvaglobal.in/trade-advisory**

Executive Summary

Indian exporters are navigating a compounding set of operational disruptions as of the 3:00 PM IST update on 11 May 2026. The Strait of Hormuz crisis — triggered by the US-Israel strike on Iran on 28 February 2026 — remains the most structurally significant disruption to Indian ocean freight. Kpler AIS data confirms that 42 of the original 53 container vessels trapped in the Persian Gulf remain stranded as of 7 May, with CMA CGM (13 vessels inside, 87% entrapment rate) and MSC (8 vessels inside, 2 seized by Iranian authorities) facing indefinite delays. An India-bound CMA CGM vessel, the San Antonio, was struck by an Iranian projectile on 5 May while transiting Hormuz, injuring 8 crew; the vessel had been scheduled to arrive at Mundra by 10 May. Peace talks between the US and Iran remain stalled, with President Trump on 11 May characterising Iran's response as "unacceptable."

Separately, the India-Pakistan bilateral trade ban (effective approximately 2 May) has restructured sub-continental carrier routing: COSCO, OOCL, and Hapag-Lloyd have removed Karachi port calls and rerouted via Colombo and Port Klang, while CMA CGM, MSC, and Hapag-Lloyd have levied emergency operational surcharges on Pakistan-origin cargo. Container spot rates rebounded 3% week-on-week to USD 2,286/FEU (Drewry WCI, 7 May) as carriers pushed through emergency fuel and peak season surcharges. Blank sailings on Asia-Mediterranean trades are cutting available capacity by 10% month-on-month in May.

Key Developments Today

- **Hormuz crisis entrapment deepens (confirmed, 7 May):** 42 of 53 container vessels originally trapped in the Persian Gulf remain stranded — 79% entrapment rate. CMA CGM has 13 vessels inside; MSC has 8 inside plus 2 seized by Iran. No meaningful transit corridor has reopened for commercial container traffic. Iran established the Persian Gulf Strait Authority on 5 May to regulate future transit authorisation.
- **India-bound CMA CGM San Antonio struck in Hormuz (confirmed, 5 May):** The Malta-flagged container vessel was hit by an Iranian projectile while transiting the Strait, injuring 8 crew members. The vessel had departed UAE's Khalifa Port on 2 May and was scheduled to arrive at Mundra by 10 May. This is the 32nd such incident since the war began on 28 February.
- **India-Pakistan trade ban in force (confirmed, ~2 May onwards):** India's decree banning vessels carrying Pakistan cargo from calling at Indian ports has taken full operational effect. COSCO and OOCL have suspended Karachi services; Hapag-Lloyd Nagoya Express diverted from JNPT to Colombo. Multiple carriers have announced emergency surcharges on Pakistan-origin cargo.
- **Container spot rates snap back (reported, Drewry WCI, 7 May):** Composite WCI increased 3% week-on-week to USD 2,286/FEU after three weeks of decline. Shanghai-New York up 7% to USD 3,721/FEU; Shanghai-LA up 5% to USD 3,062/FEU. Gains are carrier-driven (surcharges + blank sailings) not demand-driven.
- **New FAK and PSS rates announced (confirmed, carriers):** CMA CGM, Hapag-Lloyd, and MSC have announced new FAK rates of USD 3,500-4,600/FEU for Asia-North Europe and Asia-Med cargo effective 15 May. Drewry cautions implementation remains uncertain due to weak underlying demand.
- **Asia-Med blank sailings accelerate:** Drewry estimates effective capacity on Asia-Mediterranean routes will fall 10% month-on-month in May, Asia-North Europe down 3% month-on-month. Expect schedule irregularity and reduced port call frequencies.
- **US-Iran peace talks stalled (11 May):** Trump characterised Iran's response to the US peace proposal as "unacceptable." UK deployed HMS Dragon to the Middle East (9 May) for potential Hormuz mission. No near-term resolution expected.

Carrier-Specific Updates

CMA CGM — Status: DISRUPTED

Heaviest carrier exposure to the Hormuz crisis. 15 vessels were originally trapped in the Persian Gulf when commercial transits became untenable on 28 February 2026. As of 7 May, only 2 have successfully exited — an 87% entrapment rate, the highest of any major carrier (Kpler Container Intelligence, 7 May 2026).

CMA CGM San Antonio (Malta-flagged) was struck by an Iranian projectile on 5 May while transiting the Strait of Hormuz during a night passage, injuring 8 crew members. The vessel had departed UAE's Khalifa Port on 2 May and was scheduled to arrive at Mundra, India by 10 May. This was the second CMA CGM vessel attacked in Hormuz since the war began.

Active surcharges and rate actions:

- Peak Season Surcharge (PSS): USD 2,000/FEU — effective 1 May 2026
- New FAK rates for Asia-North Europe: USD 3,500-4,500/FEU — effective 15 May 2026
- Emergency Operational Recovery Surcharge (EORS) for Pakistan-origin cargo: up to USD 800/container — effective 15 May-6 June 2026

MSC — Status: DISRUPTED

14 MSC vessels were caught inside the Persian Gulf when the crisis began. MSC's situation is the most complex of any carrier: 2 vessels have been seized by Iranian authorities — the only confirmed seizures in the entire crisis, adding significant insurance and legal complexity. 4 vessels escaped; 8 remain inside as of 7 May.

Active surcharges:

- Emergency Fuel Surcharge (EFS), Asia-US East Coast: USD 644/FEU (raised from USD 430/FEU)
- Emergency Fuel Surcharge (EFS), Asia-US West Coast: USD 467/FEU (raised from USD 272/FEU)
- Emergency Surcharge on Pakistan-origin cargo, westbound (Europe, US, Africa): USD 800/container
- Emergency Surcharge on Pakistan cargo, intra-regional (Middle East, Indian subcontinent): USD 300/container

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Hapag-Lloyd — Status: DISRUPTED

The Hapag-Lloyd Nagoya Express diverted from its scheduled call at Nhava Sheva (JNPT) to Colombo on approximately 3 May 2026, following India's decree banning Pakistan-cargo-carrying vessels from Indian ports. This is a direct operational impact on JNPT berthing schedules.

Active surcharges and rate actions:

- Emergency Surcharge on Pakistan exports: USD 500/container — effective 21 May 2026
- Emergency Surcharge on Pakistan imports: USD 300/container — effective 21 May 2026
- New FAK rates for Asia-Mediterranean: USD 4,500-4,600/FEU — effective 15 May 2026

COSCO — Status: DISRUPTED

Suspended all cargo services to Karachi following the India-Pakistan trade ban. Official statement halted Karachi calls; ships en route redirected to Port Klang and Colombo. Of the 5 COSCO vessels originally trapped in the Persian Gulf, 2 successfully exited on second transit attempts — the highest escape rate of any major carrier at 40% (Kpler). Chinese-flagged vessels appear to be navigating a different diplomatic and risk calculation than Western carriers. 3 COSCO vessels remain inside as of 7 May.

OOCL — Status: DISRUPTED

Stopped bookings to Karachi under CIX1/2/CPX3 services following the India-Pakistan trade ban. Introduced a rate increase of approximately CNY 1,000 (~USD 138)/container on affected services. No OOCL vessels were recorded as trapped in the Persian Gulf crisis per Kpler data.

Surcharge Table

Carrier	Surcharge Name	Trade Lane	Effective Date	Amount (TEU)	Amount (FEU)	Currency	Sou
CMA CGM	Peak Season Surcharge (PSS)	Asia-North Europe, Asia-Med	01 May 2026	Not specified	USD 2,000	USD	gCaptai
CMA CGM	EORS — Pakistan cargo	Pakistan-origin, westbound	15 May 2026	Up to USD 800	Up to USD 800	USD	Sourcin Journal
CMA CGM	FAK Rate Increase	Asia-North Europe	15 May 2026	Not specified	USD 3,500-4,500	USD	gCaptai
MSC	Emergency Fuel Surcharge (EFS)	Asia-US East Coast	May 2026	Not specified	USD 644	USD	gCaptai
MSC	Emergency Fuel Surcharge (EFS)	Asia-US West Coast	May 2026	Not specified	USD 467	USD	gCaptai
MSC	Emergency Surcharge — Pakistan (westbound)	Pakistan to Europe, US, Africa	May 2026	USD 800	USD 800	USD	WWD/S Journal
MSC	Emergency Surcharge — Pakistan (intra-regional)	Pakistan to Middle East, Indian subcontinent	May 2026	USD 300	USD 300	USD	WWD/S Journal
Hapag-Lloyd	Emergency Surcharge — Pakistan exports	Pakistan-origin, all trades	21 May 2026	USD 500	USD 500	USD	WWD/S Journal
Hapag-Lloyd	Emergency Surcharge — Pakistan imports	Pakistan-destined	21 May 2026	USD 300	USD 300	USD	WWD/S Journal
Hapag-Lloyd	FAK Rate Increase	Asia-Mediterranean	15 May 2026	Not specified	USD 4,500-4,600	USD	gCaptai

OOCL	Rate Increase — Karachi services	CIX1/2/CPX3 to Karachi	May 2026	~USD 138	~USD 138	CNY/USD	India Sh News

Note: Where TEU/FEU amounts are shown as the same value, the source did not distinguish between container sizes. "Not specified" means the source only published FEU-basis pricing.

Trade Impact on Indian Exporters

Exporters shipping FCL from Mundra, JNPT, and Chennai are simultaneously navigating two compounding disruptions. The Strait of Hormuz closure continues to directly throttle India-Gulf trade lanes: with 42 container vessels still trapped inside the Persian Gulf as of 7 May, capacity on Gulf-connected services has collapsed, and transshipment through Jebel Ali remains severely constrained, affecting Indian exports to GCC markets, East Africa, and Europe via Gulf hubs. Exporters on these trades should seek alternate transshipment options via Colombo, Singapore, or Port Klang and budget for a minimum 10-14 additional days on transit times across India-Europe and India-Gulf lanes.

The India-Pakistan trade ban adds further complexity at JNPT and Mundra: as carriers restructure port calls to exclude Pakistan-cargo vessels, berthing schedules are subject to irregular changes that may affect vessel arrival windows for unrelated Indian export cargo. At the surcharge level, EFS, PSS, and war risk premiums are all being revised at short notice — any booking confirmed 2-3 weeks ago may no longer reflect current surcharge applicability.

Exporters are advised to: (1) reconfirm updated routing and ETAs with your freight forwarder before finalising bookings; (2) request current all-in freight quotes explicitly covering EFS, PSS, war risk surcharge, and any applicable EORS; (3) verify war risk insurance cover specifically for Gulf-routed cargo given the Hormuz attack on CMA CGM San Antonio on 5 May; and (4) identify alternate transshipment hubs if Jebel Ali-connected services are further curtailed.

Recommended Contingency Actions for Indian Exporters

1. **Reconfirm vessel routing and ETA immediately** — Do not rely on booking confirmations older than 7-10 days. Vessel diversions (as seen with Hapag-Lloyd Nagoya Express at JNPT) are happening on short notice. Call your freight forwarder today.

2. **Request an updated all-in surcharge quote** — EFS, PSS, EORS, and war risk premium are all in active revision across carriers. Any fixed-cost assumption made before 1 May 2026 is likely outdated. Get fresh quotes before finalising shipment instructions.

3. **Verify war risk insurance for Gulf-routed cargo** — With the CMA CGM San Antonio struck in Hormuz on 5 May, coverage exclusions on Gulf transits are likely tightening. Confirm your cargo insurance policy covers current routing and identify the insurer's applicable war risk zone definition.

4. **Identify alternate transshipment hubs for Gulf-destined exports** — Colombo (Sri Lanka), Singapore, and Port Klang (Malaysia) are the primary alternatives to Jebel Ali. For exports to the Gulf, Red Sea, and East Africa, discuss routing options with your forwarder now rather than after a service suspension.

5. **Monitor JNPT and Mundra vessel schedules actively** — The India-Pakistan ban is causing ad-hoc vessel diversions away from Indian ports. Check your carrier's live schedule at least weekly until the situation stabilises.

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This advisory is prepared by Sattva Global Logistics for informational purposes. All data is sourced from publicly available carrier notices, industry publications, and vessel tracking intelligence. Exporters should verify current surcharge rates and routing directly with their freight forwarder before finalising bookings. Sattva Global Logistics: sattvaglobal.in | +91 91361 21123